

Intermediate-term Treasury bonds have been the only fixed-income asset class discussed thus far. The second fixed-income class to be introduced is an index of U.S. intermediate-term investment-grade corporate bonds. This index includes bonds issued in the United States by predominantly U.S. corporations and a few bonds issued by large foreign corporations that are issued in the United States and denominated in U.S. dollars.

[Table 4-2](#) is a sampling of period returns from the Barclays Capital Intermediate Term Treasury Index and the Barclays Capital U.S. Intermediate Credit Index. “Intermediate” generally means that the bonds in the index mature in 6 to 10 years. For all practical purposes the word *credit* means “corporate.”

The reason the word *credit* is used rather than “corporate” in bond indexes is a matter of semantics. Corporations do issue all bonds in a credit index; however, a small portion of these bonds are asset-backed securities and commercial mortgages. Asset-backed bonds are backed by receivables such as credit card debt rather than by the corporation that issued the bond. An asset-backed security is its own entity that has its own credit rating. If an asset-backed bond were to default, the company that packaged the assets into a bond would not be in default and would not be obligated to make the interest and principal payments on the security.

TABLE 4-2

Treasury and Corporate Bond Indexes